Ch #3 - Employment Income - Handout #2 (ANSWER)

Does Ted qualify for the Reduced Standby Charge (50%+ work related KMs)?

Total Work KM =	14,000	=	47.46% (No Reduction to Standby Charge)
Total KM	29,500		

Note: Driving from home to work is considered personal driving

Calc'n of Standby Charge (Company Owned Vehicle):

= 2% x Cost of Car x Period of Availability
= 2% x $33,000 x (250/30)
= 2% x $33,000 x 8 (Rounded)
= $5,280

Note: The net book value of the vehicle is irrelevant